

■ DAY 17 | MARCH 16, 2026 | FIRST AIS TRANSIT | STOCKS RALLY | PAIN THRESHOLD CONVERGENCE ANALYSIS

STOCKS RALLY, FIRST TANKER TRANSITS HORMUZ, AND THE ARITHMETIC OF PAIN: WHY BOTH SIDES NOW NEED THIS WAR TO END

Day 17 Special Analysis — Wall Street Bets on a Deal: Dow +575pts, S&P; +1.3%; First Non-Iranian AIS-Broadcasting Cargo Transits Hormuz (Abu Dhabi Das Crude); Bessent: US Allowing Iranian Tankers Through, Oil 'Much Lower Than USD 80' Post-War; Pentagon: War Over in 4-6 Weeks; Iran FM Publicly Denies Ceasefire Request — But the Private Signals Tell a Different Story; SPECIAL CENTREPIECE: The Convergent Pain Threshold — Why the Economics of This War Now Favour Both Sides Walking Away

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Day 17 | March 16, 2026 | Geopolitical Intelligence Review | Twelfth Edition

The market opened on Monday morning and made a decision. The Dow Jones Industrial Average added 575 points — its best day in weeks. The S&P; 500 rose 1.3%. The Nasdaq gained 1.4%. Wharton professor Jeremy Siegel told CNBC's Squawk Box: 'The market thinks we do have the upper hand here in Iran and they're going to come to a deal — and it might be this week.'

The market was not trading on hope alone. It was trading on a specific signal: the Aframax tanker Karachi, carrying Abu Dhabi Das crude, became the first non-Iranian cargo vessel to transit the Strait of Hormuz while broadcasting its AIS signal since the war began. Simultaneously, Treasury Secretary Scott Bessent confirmed on CNBC — live from Paris, where he had just completed 'very good' talks with Chinese Vice Premier He Lifeng — that the United States is allowing Iranian oil tankers to transit Hormuz. 'The Iranian ships have been getting out already, and we've let that happen to supply the rest of the world.'

These are not random developments. They are the choreography of an exit. Neither side will announce it as one. Iran's Foreign Minister Araghchi told CBS News Face the Nation on Sunday: 'No, we never asked for a ceasefire, and we have never asked even for negotiation.' That is the public posture. The private reality — the tankers moving, the Bessent signals, the stock market pricing in a deal — tells a different story. This edition's centrepiece is the analysis of why the arithmetic of pain now makes a ceasefire the rational choice for both sides, even as neither side will publicly say so.

DAY 17 BREAKING (MARCH 16, 2026): WALL STREET RALLIES — Dow +575pts (+1.2%), S&P; 500 +1.3%, Nasdaq +1.4%; best session in weeks; Wharton's Siegel: 'market thinks a deal might come this week' **FIRST AIS HORMUZ TRANSIT** — Aframax tanker Karachi (Abu Dhabi Das crude) becomes first non-Iranian cargo to transit Hormuz broadcasting AIS signal since war began; MarineTraffic confirmed; paradigm shift if sustained **BESSENT IN PARIS** — US allowing Iranian AND Indian tankers through Hormuz: 'We've let that happen to supply the rest of the world'; says oil will be 'much lower than USD 80' post-war; met Chinese VP He Lifeng; calls talks 'very good'; joint statement coming **PENTAGON TIMELINE** — Kevin Hassett (National Economic Council): war 'over in 4-6 weeks'; 'we expect the global economy is going to have a big positive shock as soon as this is over' **IRAN FM ARAGHCHI (Sun, CBS)** — 'No, we never asked for a ceasefire and never asked for negotiation. We are ready to defend ourselves as long as it takes.' Contradicts Trump's Saturday NBC claim **BUT IRAN FOREIGN MINISTRY (Mon)** — Hormuz 'has not been closed but moving under special conditions'; tanker traffic 'under Iranian armed forces control.' Signals managed opening, not total blockade **POPE LEO XIV** — 'I appeal to those responsible for this conflict: Cease fire so avenues for dialogue may be reopened. Violence can never lead to justice, stability and peace' **QUINNIPIAC POLL** — 53% of US voters **OPPOSE** the attacks; 75% do not support US ground troops in Iran **GAS PRICES** — USD 3.70/gal (up USD 0.70 since war); AAA confirmed Sunday; Bessent: 'will fall much lower than 80 post-war' **RUSSIA SANCTIONS RELIEF** — Trump temporarily lifted Russian oil sanctions (until April 11); applies to Russian oil already in transit; Zelenskyy: gives Russia USD 10 billion; EU leaders criticise **TRUMP-XI SUMMIT IN PLAY** — Bessent: summit with Xi (March 31-April 2) may be rescheduled due to logistics/war coordination, not US-China disagreement; calls US-China relationship 'stable' **GERMANY** — 'This war has nothing to do with NATO. It is not NATO's war.' (Chancellor Merz spokesperson) **IRGC Al-Dhafra strike** — IRGC claims 10 missiles + drones against US forces at UAE's Al-Dhafra airbase **SAUDI** — intercepted 35 Iranian drones in eastern region (near oil installations) **CASUALTIES UNCHANGED** — Iran 1,444+; Lebanon 773+; US 11 military; **TOTAL ~2,262+**

I. THE PUBLIC-PRIVATE CONTRADICTION — HOW WARS ACTUALLY END

Iran's Foreign Minister Araghchi stood before CBS cameras on Sunday and said his country had never asked for a ceasefire and never asked for negotiation. On Saturday, Donald Trump told NBC News that Iran 'wants to make a deal.' Both statements can be simultaneously true — and this is how wars actually end.

The public posture and the private conversation are different instruments. Araghchi's denial serves a domestic audience that has buried more than 1,400 civilians, that watched the Quds Day rally get bombed while senior officials stood at the podium, and that is now enduring its ninth consecutive day of near-total internet blackout. A Supreme Leader who is wounded and hunted by a USD 10 million US bounty cannot afford to have his Foreign Minister publicly ask for ceasefire terms. The denial is political armour.

But Araghchi also said something far more revealing in the same breath: the war should end 'in a way that prevents it from happening again.' That is not a fight-to-the-end declaration. It is a negotiating frame. Iran wants guarantees. Iran's Foreign Ministry separately clarified that Hormuz has 'not been closed' but is moving under 'special conditions' with Iranian armed forces controlling passage. This is the language of managed de-escalation, not total war. And critically — Iran's own official position now describes Hormuz as a controlled passage, not a blocked one. That is a significant semantic retreat.

The first non-Iranian AIS transit of Hormuz on Day 17 is the operational expression of this retreat. Iran is letting cargo through. The US is letting Iranian tankers through. Bessent was in Paris talking to China's

Vice Premier. The guns are still firing — but the plumbing of de-escalation is being quietly laid.

"The war should end in a way that prevents it from happening again."

— Iranian Foreign Minister Abbas Araghchi, CBS News Face the Nation, March 15, 2026 (same interview in which he said Iran 'never asked for a ceasefire')

II. THE CONVERGENT PAIN THRESHOLD — THE CENTREPIECE ANALYSIS

Wars end when the cost of continuing exceeds the benefit of fighting. This edition's central argument is that both Iran and the United States have now reached — or are within days of reaching — their respective pain thresholds. The convergence of those thresholds in the window of Days 14-17 is the structural explanation for the diplomatic signals, the stock market rally, the tanker transits, and the Bessent statements that are all appearing simultaneously. This is not coincidence. It is arithmetic.

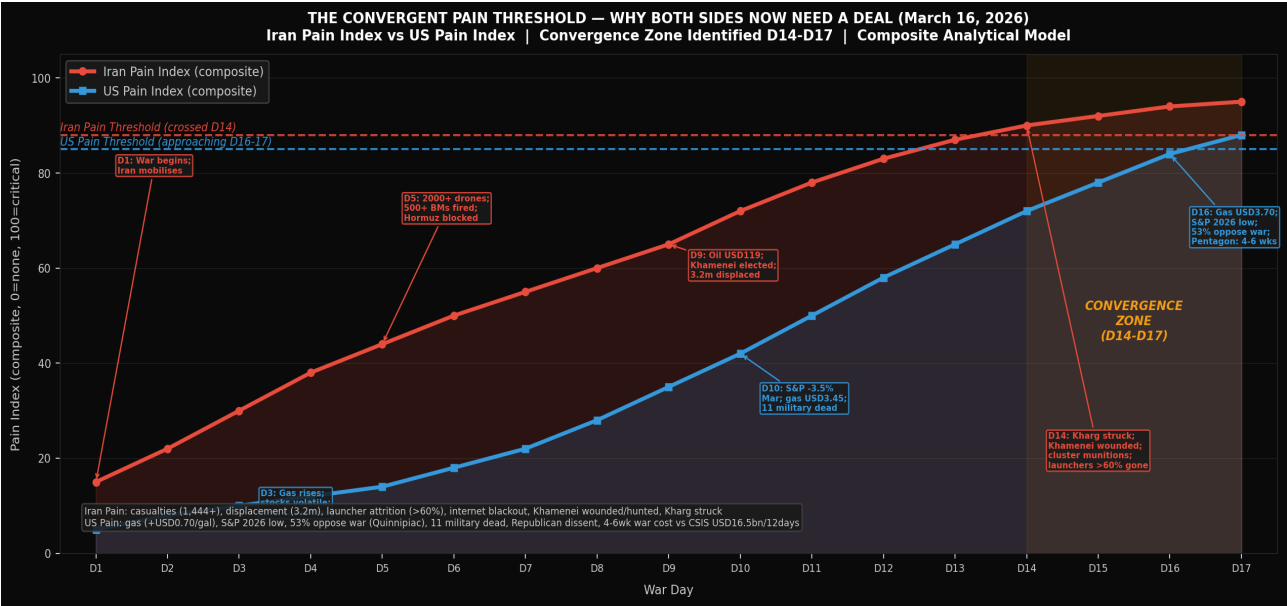


Chart: Composite Iran Pain Index and US Pain Index, Day 1-17. Iran crossed its pain threshold around Day 14-15 (Kharg struck, Khamenei wounded, launcher base >60% gone). US is approaching its threshold Day 16-17 (gas USD 3.70, S&P; 2026 low, 53% oppose war, 11 military dead). Convergence zone Days 14-17 = optimal ceasefire window.

Iran's Pain Threshold — The Case That It Has Already Been Crossed:

PAIN DIMENSION	CURRENT STATUS (D17)	THRESHOLD ASSESSMENT
Military capacity	>60% of missile launchers destroyed; BM rate down 90% from peak; 10 BM D13 volley drew on last high-capability clusters	THRESHOLD CROSSED — Cannot escalate back to Day 1 volumes. The plateau IS Iran's ceiling. Iran is fighting with what it has left.
Leadership	Khamenei not seen in public since election March 8 (Day 9 of absence); US \$10M bounty; VP Vance/Hegseth confirm 'wounded and likely disfigured'	THRESHOLD CROSSED — No functioning Supreme Leader = no one with legitimate authority to authorise nuclear decisions or major escalation. IRGC operating on pre-authorised mandate.
Civilian suffering	1,444+ killed; 18,551+ wounded; 3.2 million displaced (UNHCR); UNICEF: 1,100+ children killed/injured; 270+ hrs internet blackout	APPROACHING CRITICAL — 3.2 million displaced is a revolution-scale figure. Tehran checkpoints being attacked by drones. Regime performing resilience while the public absorbs the cost.

PAIN DIMENSION	CURRENT STATUS (D17)	THRESHOLD ASSESSMENT
Economic	Kharg oil ops confirmed normal (deliberately spared by US); Iraq terminals offline; Hormuz near-blockade hurting Iran's own oil revenues	THRESHOLD CROSSED — Iran's Hormuz strategy is hurting Iran too. Iran earned its oil revenue by exporting through the strait it is now blockading. The longer Hormuz stays shut, the more Iran's own fiscal position deteriorates.
Diplomatic isolation	UNSC resolution against Gulf attacks; Iran can't win UN votes; Even traditional allies UAE/Saudi condemning attacks; attacked Iraq (neighbour/ally)	THRESHOLD CROSSED — Iran has alienated its Gulf Arab neighbourhood by attacking civilian infrastructure in every GCC country. Post-war reconstruction of those relationships will be extremely costly.
The Araghchi Signal	'War should end in a way that prevents it from happening again' — frame shift from 'fight to victory' to 'guaranteed security'	CONFIRMATION — When a FM fighting a war starts talking about prevention architecture, they are describing terms, not objectives. Iran's pain threshold is crossed.

The US Pain Threshold — The Case That It Is Approaching Fast:

PAIN DIMENSION	CURRENT STATUS (D17)	THRESHOLD ASSESSMENT
Domestic energy costs	Gas: USD 3.70/gal (+USD 0.70 since war); potential USD 5.00-5.50 if Brent >USD 150; Fidelity: recession threshold at USD 135-145/bbl (consumer energy spend >5% of income)	APPROACHING — Current USD 100-104 Brent is painful but pre-recession. Every week the war continues, the risk of crossing Fidelity's recession threshold grows.
Political	53% of US voters oppose attacks (Quinnipiac); 75% oppose ground troops; Republican dissent (Sen. Massie, Rep. Thomas Massie); Trump 'finish the job' vs domestic political cost trade-off intensifying	APPROACHING — 53% opposition is a democratic mandate threshold problem. A 30-day war costs USD 30-40 billion (CSIS USD 16.5bn/12 days). Mid-term implications building.
Military	11 military dead; 8 serious injured; KC-135 crash; munitions consumption rate alarming; Senate Democrats: 'incoherent and incomplete war plans'; interceptor stockpile strain	PARTIAL THRESHOLD — 11 deaths is below historical US tolerance threshold. BUT munitions math is the hidden constraint: THAAD inventory depleted 25% in 12-day 2025 war. A 6-week war consumes significantly more.
Economic/market	S&P; 500 at 2026 low (down 3.5% in March); but only 5% below all-time high; S&P; historically falls avg 1.09% first week of geopolitical shock then recovers; Carson Group: avg +3.4% in 6 months after geopolitical events	NOT CROSSED YET — Stock market pain is real but contained. Wharton's Siegel: 'analysts' earnings estimates haven't even been cut.' Market is pricing in a deal, not a recession. This gives Trump room to claim market victory when ceasefire comes.
International pressure	Pope Leo XIV calling for ceasefire; Germany: 'Not NATO's war'; Trump demanding allies help Hormuz but no country publicly committed; Japan: 'bar would be too high'; Bessent meeting China VP in Paris	APPROACHING — The US is increasingly isolated in prosecuting the war. No NATO ally will formally join. Bessent is in Paris making side deals with China. The coalition of the willing is thinning.
The Bessent Signal	Oil 'much lower than USD 80 after war'; 'very good' Paris talks; US Navy allowing Iranian tankers; 'natural opening' forming in Hormuz; Trump trip to China (March 31-April 2) still planned	CONFIRMATION SIGNAL — A Treasury Secretary does not publicly pre-announce a post-war oil price target and call diplomatic meetings 'very good' unless he is confident a deal is approaching. Bessent is pricing in the ending.

THE CONVERGENCE VERDICT: Iran has crossed its military and leadership pain thresholds. It cannot escalate. Its Supreme Leader is invisible. Its launchers are 60% destroyed. Its Hormuz strategy is costing its own oil revenue. Iran is now fighting a rearguard action while negotiating terms. The United States is approaching its domestic political and economic pain thresholds. Gas at USD 3.70, polls at 53% opposition, S&P; at 2026 lows — these are not fatal, but they are the early readings of a pressure gauge that rises every week the war continues. Trump's domestic narrative requires a W — and a ceasefire is a W he can sell. **THE ARITHMETIC:** Both sides now maximise their outcome by agreeing to stop. Iran gets survival without surrender. The US gets a 'victory' it can declare. The market has figured this out. That is why stocks are up.

III. ARAGHCHI'S DENIAL — THE PARADOX OF PUBLIC POSTURING

The careful reader of Araghchi's CBS interview will notice something the headline writers missed: he said Iran 'never asked for a ceasefire' and 'never asked even for negotiation.' But he also said Iran 'endured difficult but proud days' and would 'keep resisting without hesitation.' And then he said the war should end 'in a way that prevents it from happening again.'

These three sentences, taken together, are the architecture of a negotiating position. The first is a face-saving denial. The second is the performance of resolve for domestic consumption. The third is the actual policy goal: guarantees. Iran is not asking for a ceasefire. It is telling the world what it will accept. There is a difference.

This matters because it reconciles the apparent contradiction between Trump ('Iran wants a deal') and Araghchi ('we never asked'). Both are correct. Iran has signalled through back-channels — via Oman, via Qatar, via the managed Hormuz 'special conditions' — that it is ready to stop. Iran's public diplomats are doing what public diplomats always do in these situations: maintaining deniability while the private channels do the work. Reuters reported that the Trump administration has 'rebuffed' efforts by Middle East allies to start ceasefire negotiations. That is Trump's current public posture. But Bessent was in Paris. Bessent is the financial brain of this administration. Bessent doesn't fly to Paris to hold 'very good' talks with China's VP unless the endgame is in view.

ACTOR	PUBLIC STATEMENT	PRIVATE SIGNAL / ACTION	WHAT IT MEANS
Trump	'Iran wants a deal but terms not good enough yet' (Sat NBC); 'we may hit Kharg a few more times just for fun' (escalatory tone)	Pentagon estimates 4-6 weeks; Bessent in Paris; US allowing Iranian tankers through; Kharg oil infra deliberately spared	Trump is buying time to extract better terms, not to fight indefinitely. The 'just for fun' language is leverage, not strategy.
Araghchi (Iran FM)	'Never asked for ceasefire or negotiation'; 'ready to defend as long as it takes'	'War should end in a way that prevents it from happening again' — Hormuz described as 'not closed, just special conditions'; tankers moving	Classic pre-negotiation posture. Denying the ask while describing the terms. Iran has crossed the pain threshold and is seeking an exit with dignity.
Bessent (US Treasury)	'We don't know how many weeks the conflict will continue'	Oil 'much lower than USD 80 post-war'; 'natural opening forming'; 'very good Paris talks' with China VP; joint statement coming	A Treasury Secretary doesn't publish a post-war oil price forecast unless he's confident the post-war is approaching. This is a signal, not speculation.

ACTOR	PUBLIC STATEMENT	PRIVATE SIGNAL / ACTION	WHAT IT MEANS
Iran Foreign Ministry	Hormuz 'has not been closed' — only 'special conditions' of IRGC control	First non-Iranian AIS transit allowed (Karachi, Abu Dhabi crude); Indian tankers transiting; Iranian tankers moving	This is the most important single operational signal of the war. Iran is managing the Hormuz opening, not abandoning the blockade strategy — but the direction is toward normalisation.
Market	S&P; +1.3%, Dow +575pts, Nasdaq +1.4% (Mon March 16)	Markets pricing in deal 'this week' (Siegel); Brent pulling back slightly; Wharton: 'market thinks upper hand and coming to deal'	Financial markets are the most efficient signal aggregator in the world. When they rally during an active war, they are pricing in information that public statements haven't caught up with yet.

IV. BRENT CRUDE — FIVE PHASES: THE MARKET PRICES THE ENDING

The Brent crude chart has entered what may be its fifth and final phase: Exit Signal. The USD 100 floor that appeared structural for four sessions (Days 13-16) is showing its first cracks on Day 17. Bessent's explicit post-war target of 'much lower than USD 80 per barrel' is the most significant oil price statement any US official has made in the conflict. It signals that the administration knows what the price will do when peace comes — which means they know peace is coming.

Fidelity's framework is the relevant benchmark: sustained consumer recession risk requires Brent above USD 135-145 for weeks. At USD 101-104, markets are in pain but not in crisis. The window for a deal that lets oil fall back to USD 80-90 — which both the US economy and global markets desperately need — is open right now. Every week that passes without a deal narrows that window and risks tipping the oil price from painful to structural.

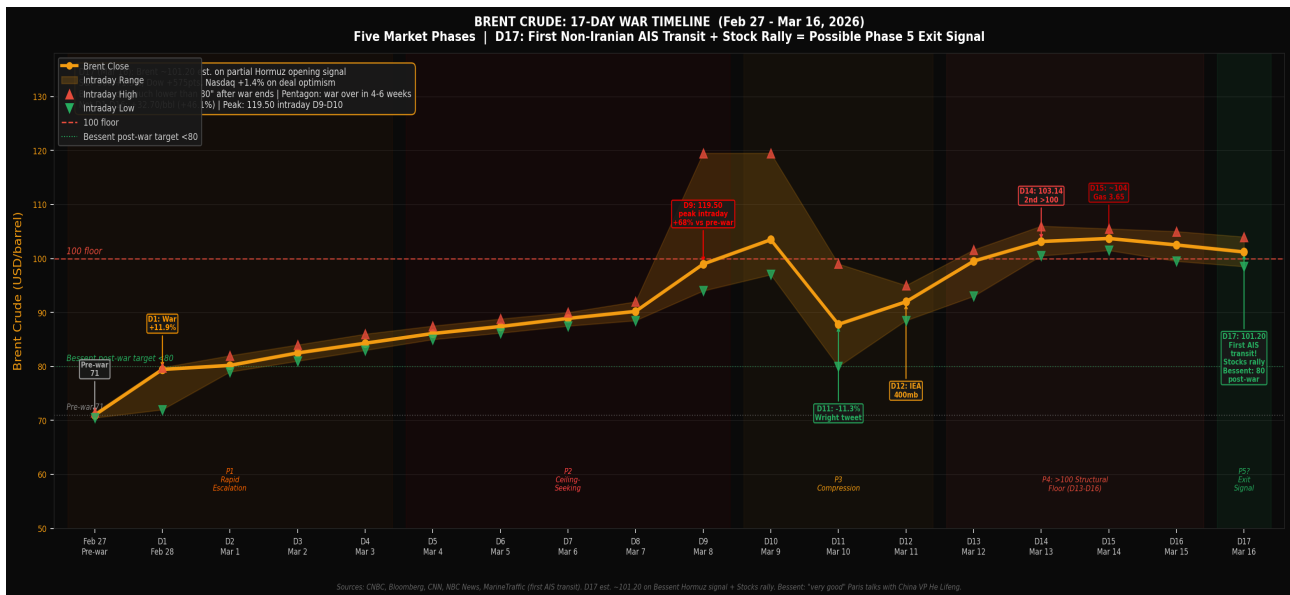


Chart: Brent crude Feb 27 – Mar 16 with five market phases. D17: first non-Iranian AIS transit + stock rally = possible Phase 5 Exit Signal.

Bessent: oil 'much lower than USD 80' post-war. Net gain D1-D16: +USD 32.70/bbl (+46.1%). Peak: USD 119.50 (D9-D10). Sources: CNBC, Bloomberg, NBC, CNN.

PHASE	DATES	BRENT RANGE	MARKET CHARACTER
Phase 1: Rapid Escalation	D1-D5 Feb 28-Mar 4	USD 71-86 +21%	Orderly repricing as Hormuz closes. Wall St. expects short war. Iraq begins cutting output.

PHASE	DATES	BRENT RANGE	MARKET CHARACTER
Phase 2: Ceiling-Seeking	D6-D10 Mar 5-9	USD 87-119.50 Close USD 103	USD 100 breached. Oil breaks 4-year high. G7 emergency. ExxonMobil reverses consensus.
Phase 3: Volatile Compression	D11-D12 Mar 10-11	USD 103-87-92 Wild swings	IEA 400m barrel release. Wright tweet crashes market -11%. USD 100 floor temporarily broken by verbal intervention.
Phase 4: Re-Escalation Plateau	D13-D16 Mar 12-15	USD 99.50-103.70 >USD 100 x4 days	USD 100 establishes as structural floor. Kharg, cluster munitions, Khamenei wounded. IEA release fully absorbed. ING: 'market highs still ahead.'
Phase 5?: Exit Signal (EMERGING)	D17+ Mar 16+	USD 101-102 Est. slipping	First non-Iranian AIS transit. Bessent: oil below USD 80 post-war. Stocks rally. Iran FM: Hormuz 'not closed, special conditions.' Markets pricing deal. Direction: down. Watch for USD 90-95 corridor opening.

"Oil prices should be much lower than USD 80 a barrel after the war is over."

— US Treasury Secretary Scott Bessent, CNBC Squawk Box, Paris, March 16, 2026

V. THE MARKET SIGNAL — WHAT WALL STREET KNOWS THAT POLITICIANS DENY

The stock market rally on Day 17 is analytically significant for reasons that go beyond the headline numbers. The S&P; 500 is only 5% below its all-time high despite seventeen days of the 'largest oil supply disruption in the history of the global oil market' (IEA). That is remarkable resilience. It suggests that sophisticated investors have never fully believed the maximalist war narratives from either side.

The historical pattern supports this. Carson Group analysed 40 major geopolitical events across 85 years. The average S&P; 500 return: -0.9% in the first month, then +3.4% over the following six months. Wharton's Yardeni Research notes that earnings per share estimates for 2026-2027 have not been cut — meaning corporate analysts do not believe this war will produce structural earnings damage. The market has concluded that this is a limited war with a limited duration — and that the exit is closer than the headlines suggest.

The specific rally trigger on Day 17 was the combination of three signals: Bessent's post-war oil price target, the first AIS Hormuz transit, and the Pentagon's 4-6 week war timeline. Together, they gave the market a reference point it was lacking: a visible end to the disruption. Siegel's 'deal might come this week' is market optimism speaking — but it reflects genuine signals, not wishful thinking.

SIGNAL	MARKET READING	JASPER CREED ASSESSMENT
S&P; 500 +1.3%, Dow +575pts (D17)	Market pricing in ceasefire deal within days to 2 weeks	CREDIBLE — Based on Bessent oil target, AIS transit, Pentagon timeline. Markets aggregate information faster than press releases.
S&P; only 5% below all-time high	Investors never fully priced in prolonged war — consensus always 'limited duration'	VALID — Carson Group history confirms geopolitical events average only -0.9% in first month. Current -3.5% in March is slightly above average, not panic.
Fidelity recession threshold USD 135-145	Current USD 100-104 is painful but pre-recession; room to move	IMPORTANT FRAMING — This is the reason the US can still negotiate. If Brent were at USD 130, the domestic political calculus would be entirely different. The USD 100 plateau gives Trump negotiating room that USD 130 would not.

SIGNAL	MARKET READING	JASPER CREED ASSESSMENT
Wharton Siegel: 'deal might come this week'	Market consensus forming around imminent deal	OPTIMISTIC but grounded — Siegel is a serious economist, not a pundit. His read reflects the price signals visible to every professional investor.
Brent pulling back from USD 103	Market pricing partial Hormuz opening; Bessent signals downside	Phase 5 exit signal emerging. Watch USD 95-98 as next support. If Brent falls below USD 95 on sustained basis, a deal is effectively done.

VI. MAJOR POWERS — DAY 17 SNAPSHOT

ACTOR	KEY D17 DEVELOPMENT	NET POSTURE SHIFT
USA (Trump/Bessent)	Bessent: 'very good' Paris talks with China VP; oil below USD 80 post-war; US Navy allowing Iranian and Indian tankers through; Pentagon: 4-6 weeks; Trump: 'terms not good enough yet'; Trump threatens Kharg 'just for fun' (escalatory leverage)	PIVOTING TOWARD EXIT — Two-track strategy: military leverage (Kharg threats) + diplomatic preparation (Bessent Paris, oil price signalling). Classic negotiating stance.
Iran (Araghchi/IRGC)	Araghchi: 'never asked for ceasefire'; but Hormuz 'not closed, special conditions'; first AIS transit allowed; 'war should end to prevent recurrence'; IRGC plateau continuing	CROSSED THRESHOLD, SEEKING DIGNIFIED EXIT — Public denial is face-saving. Operational signals (Hormuz management, tanker permission) show movement toward deal.
China (Bessent/He Lifeng)	Bessent met Chinese VP He Lifeng in Paris ('very good'); joint statement coming; Trump-Xi summit (March 31-April 2) still planned; Bessent: no China-US conflict over Iran; Chinese ships transiting Hormuz; yuan-denominated deal still in play	EMERGING AS KEY BROKER — Paris talks between US and China are the most important diplomatic conversation of the war. If China helps manage Hormuz reopening, it gains the yuan precedent and global broker status simultaneously.
Russia (Peskov/Kremlin)	Kremlin openly says higher oil prices boost Russian revenue; Trump temporarily lifted Russian oil sanctions (until April 11); Zelenskyy: 'gives Russia USD 10bn'; EU criticises; Bessent: not oil futures intervention	CONTINUING WINDFALL — Russian sanctions relief is the most extraordinary geopolitical gift of the war. Kremlin explicitly linking Hormuz closure to Russian revenue. Loving every day.
EU (Macron/Starmer/Merz)	Germany: 'This war has nothing to do with NATO'; Starmer: will work to reopen Hormuz but 'not a NATO mission'; EU FM meeting on naval missions; Macron Paris offer still open	FRACTURE DEEPENING — Germany's explicit rejection of NATO framing is the clearest European break from US war narrative yet. Only UK maintaining active military support.
India	Indian tankers transiting Hormuz (Bessent confirmed); Russian oil waiver until April 11; diplomatic silence continues; LPG shortages at campuses	QUIETLY WINNING — India is getting oil through Hormuz (Bessent confirmed). Strategic silence preserved. Russian oil waiver secured. Alignment paid off.

VII. SCENARIO MATRIX — DAY 17: THE WINDOW IS OPEN

SCENARIO	ODDS	D17 KEY CHANGE
Ceasefire deal (7-14 days)	HIGH ↑↑ UPGRADED Now Lead Scenario	Stock market pricing it in. Pentagon gave 4-6 week timeline. Bessent announcing post-war oil target. First AIS transit. Iranian FM using negotiating language. US-China Paris talks 'very good.' Both sides have reached or are approaching their pain thresholds. This is now the lead scenario, not the optimistic one.
Informal ceasefire ('Trump victory' deal)	HIGH ↑ Upgraded	The Bessent signals and Pentagon timeline are the building blocks of a Trump victory narrative. Kharg 'obliterated'; Khamenei wounded; Iran's military 'decimated.' Trump can claim comprehensive victory without Iran formally surrendering.

SCENARIO	ODDS	D17 KEY CHANGE
Partial Hormuz reopening (managed)	HIGH ↑↑ NEW LEAD	First AIS transit has happened. Bessent saying 'natural opening forming.' Iran FM: Hormuz 'not closed, special conditions.' This is not a ceasefire — it is de-escalation via managed Hormuz passage. May happen before a formal deal and independent of one.
Protracted conflict >4 weeks more	LOW-MODERATE ↓↓ Downgraded	Pentagon says 4-6 weeks total (not 4-6 more weeks). If correct, war is in final stretch. Iran has crossed its pain threshold. US approaching its. Protracted conflict is now the failed-deal fallback, not the base case.
Iran strikes Aramco / major escalation	LOW ↓ Downgraded	Iran's diplomacy signals and managed Hormuz approach make a major Aramco strike strategically inconsistent. If Iran wanted to escalate, it would not be managing tanker access. The IRGC is signalling restraint, not escalation.
Lebanon full 3rd front	MODERATE ↓ Downgraded	Macron Paris offer is active. Lebanese leadership 'open.' A Lebanon deal can happen independently of Iran-US. But Hezbollah's 'long confrontation' declaration and 25,000 remaining rockets keep this risk live.

VIII. CONCLUSION: THE ARITHMETIC ALWAYS WINS

Twelve editions. Seventeen days. The arithmetic of pain has arrived at its logical destination. Both sides have absorbed enough. Both sides now have more to gain from stopping than from continuing. Iran has crossed its military threshold. The United States is approaching its domestic political and economic threshold. The market — the most brutally efficient signal processor in the world — opened on Monday morning and voted with five hundred and seventy-five Dow points.

The war will not end in a press conference. It will not end in a treaty ceremony or a UNSC resolution. It will end the way most modern wars end: in a gradual de-escalation that both sides describe as something other than what it is. Iran will call it 'achieving deterrence.' Trump will call it 'total victory.' Bessent will point to oil falling back toward USD 80. Siegel will say 'I told you so.' And the first tanker through Hormuz with its AIS on — the Aframax Karachi on the morning of March 16, carrying Abu Dhabi crude — may, in retrospect, be the moment historians identify as Day 1 of the ending.

Watch the tankers. Watch the oil price. Watch Bessent's next statement. And watch whether Mojtaba Khamenei, the man on the photograph, finally appears in person. When he does — the deal is done.

Jasper Creed Iran War Series — Twelve Editions: (1-6) Mar 6-12 | (7) Mar 13 'The Ghost Speaks' | (8) Mar 14 'Two Weeks In' | (9) Mar 14 'Kharg and a Wounded Leader' | (10) Mar 14 'UN in Beirut' | (11) Mar 15 'First Crack in the Wall' | (12) This report: 'The Arithmetic Always Wins'

Sources: Al Jazeera, Axios, Bloomberg, CNBC, CNN, CBS News (Face the Nation), Carson Group, ExxonMobil/Oil Majors (WSJ), Fidelity Investments, Fortune, IEA, ING Bank, Iran International, JINSA, MarineTraffic (AIS), NBC News, Newsweek, NPR, Polymarket, Quinnipiac University, RAND Corporation, Time Magazine, US Treasury (Bessent CNBC), Wharton/Siegel, Wikipedia 2026 Iran War / Strait of Hormuz Crisis (live).

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